APPRAISAL REPORT

Aspen Crossing | Oklahoma City, OK

Subject Property	Aspen Crossing
Address	4937 Grand Avenue, Oklahoma City, OK 27863
Property Rights Appraised	Fee Simple
Effective Date of Value	October 18, 2022
Market Value Conclusion	$25,380,000

Submarket Analysis

New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Rent growth in the submarket has averaged 7.8% annually over the past 3 years. Median household income within a 1-mile radius of the property is approximately $305,000 and has grown 8.0% annually. Investor demand for Retail assets in Oklahoma City remains strong with recent trades at capitalization rates between 5.57% and 5.57%. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Market vacancy for comparable Retail product stands at 4.4%, down from 7.4% two years ago. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Median household income within a 5-mile radius of the property is approximately $417,000 and has grown 5.2% annually. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Topography and Flood Zone

Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Access to the site is provided by 20 curb cuts and the property is served by municipal water and sanitary sewer. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. The site contains approximately 14.14 acres and is generally level with frontage along Grand Avenue.

Utilities, including electric, natural gas and telecommunications, are available to the site from the street. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. The site contains approximately 20.20 acres and is generally level with frontage along Grand Avenue. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Access to the site is provided by 36 curb cuts and the property is served by municipal water and sanitary sewer. Surrounding land uses include residential, commercial and light industrial properties of similar vintage.

Supply and Demand

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Investor demand for Retail assets in Oklahoma City remains strong with recent trades at capitalization rates between 8.03% and 8.03%. Rent growth in the submarket has averaged 7.8% annually over the past 6 years. Employment growth is led by healthcare, logistics, education and professional services sectors. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. The Oklahoma City Retail market has experienced absorption of 2800 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries.

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Aspen Crossing is located in Oklahoma City, OK, a market that has recorded 6.4% population growth over the last five years. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Investor demand for Retail assets in Oklahoma City remains strong with recent trades at capitalization rates between 6.17% and 6.17%.

Topography and Flood Zone

The site contains approximately 11.11 acres and is generally level with frontage along Grand Avenue. Access to the site is provided by 15 curb cuts and the property is served by municipal water and sanitary sewer. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection.

Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Access to the site is provided by 44 curb cuts and the property is served by municipal water and sanitary sewer. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection.

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Submarket Analysis

Average rent is $23 per square foot with parking at a ratio of 6 spaces per 1,000 square feet. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Rent growth in the submarket has averaged 5.5% annually over the past 12 years. The Oklahoma City Retail market has experienced absorption of 700 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Investor demand for Retail assets in Oklahoma City remains strong with recent trades at capitalization rates between 5.57% and 5.57%.

Median household income within a 8-mile radius of the property is approximately $311,000 and has grown 13.0% annually. Aspen Crossing is located in Oklahoma City, OK, a market that has recorded 4.1% population growth over the last five years. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Topography and Flood Zone

Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site contains approximately 18.18 acres and is generally level with frontage along Grand Avenue. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect.

The site contains approximately 37.37 acres and is generally level with frontage along Grand Avenue. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Access to the site is provided by 15 curb cuts and the property is served by municipal water and sanitary sewer. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection.

Submarket Analysis

Aspen Crossing is located in Oklahoma City, OK, a market that has recorded 10.6% population growth over the last five years. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Employment growth is led by healthcare, logistics, education and professional services sectors. Market vacancy for comparable Retail product stands at 9.6%, down from 7.8% two years ago.

The Oklahoma City Retail market has experienced absorption of 4400 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Investor demand for Retail assets in Oklahoma City remains strong with recent trades at capitalization rates between 5.76% and 5.76%. Median household income within a 1-mile radius of the property is approximately $83,000 and has grown 13.9% annually. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Employment growth is led by healthcare, logistics, education and professional services sectors. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

Topography and Flood Zone

Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Access to the site is provided by 17 curb cuts and the property is served by municipal water and sanitary sewer. The site contains approximately 19.19 acres and is generally level with frontage along Grand Avenue. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect.

Access to the site is provided by 11 curb cuts and the property is served by municipal water and sanitary sewer. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Utilities, including electric, natural gas and telecommunications, are available to the site from the street.

Supply and Demand

Market vacancy for comparable Retail product stands at 2.7%, down from 6.9% two years ago. The Oklahoma City Retail market has experienced absorption of 1100 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Average rent is $23 per square foot with parking at a ratio of 40 spaces per 1,000 square feet. Aspen Crossing is located in Oklahoma City, OK, a market that has recorded 9.2% population growth over the last five years. Rent growth in the submarket has averaged 3.7% annually over the past 6 years.

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Improvements Description

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The roof is a 41-year membrane system with an estimated remaining useful life of 4 years.

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Average rent is $23 per square foot with parking at a ratio of 9 spaces per 1,000 square feet. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting.

Construction Details

Mechanical systems include rooftop package units and central plant equipment of varying age. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Aspen Crossing was originally constructed in 2021 and consists of 121,968 SF in a building of 23 stories.

The roof is a 17-year membrane system with an estimated remaining useful life of 8 years. Mechanical systems include rooftop package units and central plant equipment of varying age. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Common area interiors have been refreshed within the last 5 years and are in average to good condition.

Building Systems

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Average rent is $23 per square foot with parking at a ratio of 5 spaces per 1,000 square feet. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Common area interiors have been refreshed within the last 11 years and are in average to good condition.

Common area interiors have been refreshed within the last 11 years and are in average to good condition. Aspen Crossing was originally constructed in 2021 and consists of 121,968 SF in a building of 21 stories. Average rent is $23 per square foot with parking at a ratio of 31 spaces per 1,000 square feet. The roof is a 2-year membrane system with an estimated remaining useful life of 7 years. Mechanical systems include rooftop package units and central plant equipment of varying age. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

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Sales Comparison Data

Comparable	Location	Sale Date	Size	Price	$/Unit or SF	Cap Rate	Yr Built
Bluestone Square	Milwaukee, WI	08/12/2024	27	$21,737,033	$178	7.22%	1971
Laurel Marketplace	Detroit, MI	04/22/2025	21	$33,278,672	$273	6.70%	2014
Beacon Marketplace	Greenville, SC	03/05/2022	42	$16,230,520	$133	6.28%	2009
Mesa Shopping Center	Boston, MA	12/13/2024	25	$16,851,107	$138	6.96%	2010
Beacon Shopping Center	Louisville, KY	05/22/2026	29	$22,341,109	$183	7.75%	2010
Thornton Square	Houston, TX	10/25/2023	18	$17,431,970	$143	5.95%	2016
Ironwood Crossing	Newark, NJ	05/28/2023	23	$20,568,892	$169	6.10%	1978
Union Square	Norfolk, VA	03/03/2026	48	$21,551,391	$177	6.94%	1985
Parkview Marketplace	Greenville, SC	06/30/2025	30	$34,392,293	$282	6.12%	1987
Saddlebrook Crossing	Buffalo, NY	02/23/2022	46	$32,542,771	$267	8.17%	1983
Ashford Town Center	Pittsburgh, PA	06/03/2023	26	$33,311,464	$273	5.71%	1975
Quarry Marketplace	Omaha, NE	03/07/2024	20	$19,035,263	$156	6.39%	1970
Orchard Square	Richmond, VA	05/27/2024	41	$30,653,753	$251	5.13%	1972
Ridgeline Crossing	Milwaukee, WI	04/28/2022	41	$28,099,963	$230	7.09%	2001
Cobalt Square	Birmingham, AL	10/14/2025	25	$25,301,088	$207	5.10%	2011
Union Crossing	Boston, MA	01/01/2026	47	$31,074,438	$255	5.32%	2000
Calloway Crossing	Raleigh, NC	02/01/2025	20	$28,182,250	$231	7.45%	2020
Maple Crossing	Albany, NY	10/08/2024	35	$15,246,259	$125	5.23%	1990
Whitaker Square	Dallas, TX	02/12/2023	22	$16,072,610	$132	6.01%	2008
Dover Marketplace	Omaha, NE	12/22/2025	39	$17,051,689	$140	6.97%	2011
Mesa Crossing	Charlotte, NC	10/31/2022	31	$27,321,347	$224	8.17%	2017
Highland Crossing	Tempe, AZ	10/22/2024	28	$18,436,657	$151	7.29%	1997
Crestline Shopping Center	Atlanta, GA	01/02/2023	24	$26,930,914	$221	6.36%	1988
Dover Town Center	Buffalo, NY	12/25/2022	43	$15,295,796	$125	7.56%	1976
Parkview Square	Atlanta, GA	04/30/2026	29	$25,721,553	$211	6.30%	1990
Highland Crossing	Cincinnati, OH	08/26/2025	18	$18,273,851	$150	6.41%	2004
Cypress Shopping Center	Grand Rapids, MI	05/18/2025	47	$12,140,363	$100	7.71%	1999
Pinecrest Marketplace	Baltimore, MD	01/01/2024	19	$23,770,106	$195	7.78%	1990
Union Marketplace	Boise, ID	07/04/2026	21	$22,645,343	$186	6.69%	2003
Redwood Square	Riverside, CA	11/16/2023	33	$19,008,819	$156	7.72%	1999
Valley Square	Aurora, CO	09/27/2023	37	$20,255,397	$166	5.90%	1984
Ashford Square	Riverside, CA	10/31/2022	17	$31,304,025	$257	7.22%	1997
Copper Town Center	San Diego, CA	07/24/2025	27	$23,210,478	$190	6.08%	1969
Nautilus Shopping Center	Austin, TX	06/26/2023	28	$11,446,754	$94	5.27%	1993
Jasper Square	Birmingham, AL	09/08/2024	33	$22,344,164	$183	7.57%	2005
Oakmont Marketplace	Portland, OR	01/06/2026	18	$30,180,018	$247	7.26%	2021
Alder Marketplace	Detroit, MI	07/02/2022	24	$15,024,398	$123	7.57%	1990
Falcon Square	Houston, TX	09/24/2023	36	$16,840,985	$138	7.93%	1986
Wexford Shopping Center	Aurora, CO	10/05/2023	41	$22,997,423	$189	7.89%	1995
Glenview Marketplace	Omaha, NE	08/09/2023	41	$18,253,026	$150	7.16%	1972
Wexford Crossing	Buffalo, NY	03/23/2026	49	$16,878,654	$138	5.97%	2007
Birchwood Square	Naperville, IL	02/02/2023	17	$32,431,729	$266	5.73%	2002
Indigo Town Center	Omaha, NE	01/15/2022	38	$32,116,745	$263	5.84%	2019

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Income and Expense Review

The going-in capitalization rate of 6.21% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $418,000, representing a 12.7% increase over the prior year. Average rent is $23 per square foot with parking at a ratio of 6 spaces per 1,000 square feet. Operating expenses totaled $322,000 or approximately 30.01 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 7.58x on a trailing basis against a covenant minimum of 1.20x. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Management fees are calculated at 7.3% of collected revenue and are included in operating expenses. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Effective gross income for the trailing period was $38,000, representing a 4.5% increase over the prior year. Average rent is $23 per square foot with parking at a ratio of 32 spaces per 1,000 square feet. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Financial Analysis

Management fees are calculated at 7.3% of collected revenue and are included in operating expenses. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The going-in capitalization rate of 5.70% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $419,000, representing a 9.8% increase over the prior year. Debt service coverage ratio was 5.62x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $116,000 or approximately 10.55 per square foot, with real estate taxes representing the largest line item.

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Net operating income is projected to grow at a compound annual rate of 3.9% over the hold period. Management fees are calculated at 4.1% of collected revenue and are included in operating expenses. The going-in capitalization rate of 7.19% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

Financial Analysis

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Debt service coverage ratio was 5.72x on a trailing basis against a covenant minimum of 1.20x. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Effective gross income for the trailing period was $267,000, representing a 3.3% increase over the prior year. Management fees are calculated at 3.4% of collected revenue and are included in operating expenses.

Operating expenses totaled $184,000 or approximately 9.77 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $169,000, representing a 6.4% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Average rent is $23 per square foot with parking at a ratio of 20 spaces per 1,000 square feet.

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Rent Comparables

Comparable	Distance	Yr Built	Space Type	Asking Rent	Occupancy	Concessions
Wexford Square	2.1 mi	1986	Bay	$19.99	96.0%	$500
Calloway Shopping Center	0.3 mi	2021	1BR	$26.34	96.4%	$500
Canyon Town Center	0.9 mi	1980	Studio	$24.24	97.2%	1 mo. free
Vista Shopping Center	1.0 mi	2006	Inline	$25.10	88.6%	1 mo. free
Ironwood Town Center	4.1 mi	1990	Bay	$25.39	90.6%	None
Parkview Marketplace	1.7 mi	2015	Unit	$26.13	91.0%	1 mo. free
Pelican Town Center	4.9 mi	1976	Suite	$20.54	89.4%	$500
Union Square	0.7 mi	2013	Unit	$21.37	88.9%	None
Bluestone Town Center	4.0 mi	2007	Unit	$20.16	90.4%	None
Eastlake Marketplace	2.3 mi	2002	Unit	$25.07	88.1%	$500
Beacon Marketplace	1.4 mi	1977	Inline	$26.45	95.5%	$500
Kingsley Marketplace	2.1 mi	2011	1BR	$24.20	96.5%	None
Calloway Crossing	4.1 mi	2023	2BR	$24.29	86.7%	$500
Granite Town Center	1.7 mi	2020	1BR	$26.88	97.7%	1 mo. free
Yarrow Square	2.0 mi	1984	Unit	$24.26	86.4%	$500
Glenview Town Center	5.0 mi	1990	Unit	$27.33	91.7%	1 mo. free
Alder Square	2.0 mi	1991	1BR	$26.22	88.0%	None
Kingsley Shopping Center	3.0 mi	2007	2BR	$21.84	91.4%	1 mo. free
Elmhurst Town Center	1.3 mi	2021	2BR	$27.06	86.6%	$500
Heritage Marketplace	3.3 mi	2007	Studio	$19.74	97.9%	1 mo. free
Keystone Town Center	4.4 mi	1989	1BR	$20.78	88.7%	1 mo. free
Verde Shopping Center	0.8 mi	1985	Unit	$27.48	86.0%	$500
Cedar Town Center	2.0 mi	1992	Bay	$24.96	92.3%	1 mo. free
Bayview Crossing	1.3 mi	2007	Suite	$24.87	94.0%	None
Kestrel Marketplace	2.5 mi	1992	2BR	$21.07	86.5%	None
Sterling Crossing	2.5 mi	2004	Inline	$25.51	96.1%	None
Oakmont Marketplace	3.0 mi	1982	Bay	$27.04	94.9%	1 mo. free
Vista Marketplace	0.8 mi	1991	Unit	$21.03	90.0%	1 mo. free
Harbor Crossing	1.3 mi	1971	Studio	$22.88	97.4%	None
Elmhurst Square	4.9 mi	2008	Inline	$26.81	92.3%	None
Timberline Town Center	2.5 mi	1973	Inline	$26.84	93.7%	1 mo. free
Crestline Marketplace	1.7 mi	2013	Suite	$21.25	90.5%	$500
Ironwood Crossing	2.6 mi	2008	Studio	$27.15	96.3%	$500
Granite Crossing	4.2 mi	1973	Inline	$27.33	92.5%	1 mo. free
Harbor Marketplace	3.3 mi	1996	Suite	$24.07	86.3%	None
Orchard Crossing	4.8 mi	2019	Bay	$22.35	96.6%	None
Riverbend Town Center	3.0 mi	1972	Studio	$21.24	93.7%	1 mo. free
Northgate Marketplace	2.6 mi	1995	Unit	$22.82	95.7%	None
Redwood Crossing	3.6 mi	2020	Inline	$25.40	94.0%	1 mo. free
Yarrow Marketplace	4.4 mi	1989	1BR	$25.83	90.0%	None
Summit Marketplace	4.4 mi	2016	Inline	$22.32	91.5%	None
Upland Shopping Center	2.7 mi	1985	Inline	$26.22	89.4%	$500
Riverbend Town Center	4.7 mi	1977	2BR	$20.18	89.7%	1 mo. free

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Market Overview

Rent growth in the submarket has averaged 5.1% annually over the past 4 years. Median household income within a 5-mile radius of the property is approximately $84,000 and has grown 13.3% annually. The Oklahoma City Retail market has experienced absorption of 3200 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Investor demand for Retail assets in Oklahoma City remains strong with recent trades at capitalization rates between 6.60% and 6.60%. Employment growth is led by healthcare, logistics, education and professional services sectors.

Average rent is $23 per square foot with parking at a ratio of 23 spaces per 1,000 square feet. Median household income within a 7-mile radius of the property is approximately $292,000 and has grown 5.2% annually. Employment growth is led by healthcare, logistics, education and professional services sectors. Rent growth in the submarket has averaged 6.6% annually over the past 8 years.

Site Description

Access to the site is provided by 17 curb cuts and the property is served by municipal water and sanitary sewer. The site contains approximately 36.36 acres and is generally level with frontage along Grand Avenue. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect.

Access to the site is provided by 2 curb cuts and the property is served by municipal water and sanitary sewer. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site contains approximately 7.7 acres and is generally level with frontage along Grand Avenue. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect.

Demographics and Employment

Market vacancy for comparable Retail product stands at 4.7%, down from 4.2% two years ago. Employment growth is led by healthcare, logistics, education and professional services sectors. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Investor demand for Retail assets in Oklahoma City remains strong with recent trades at capitalization rates between 5.81% and 5.81%.

Employment growth is led by healthcare, logistics, education and professional services sectors. Average rent is $23 per square foot with parking at a ratio of 48 spaces per 1,000 square feet. Median household income within a 4-mile radius of the property is approximately $264,000 and has grown 7.3% annually. Rent growth in the submarket has averaged 4.1% annually over the past 8 years.

Access and Utilities

The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site contains approximately 17.17 acres and is generally level with frontage along Grand Avenue. Access to the site is provided by 36 curb cuts and the property is served by municipal water and sanitary sewer. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection.

Access to the site is provided by 46 curb cuts and the property is served by municipal water and sanitary sewer. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site contains approximately 33.33 acres and is generally level with frontage along Grand Avenue. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Utilities, including electric, natural gas and telecommunications, are available to the site from the street.

Supply and Demand

New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. The Oklahoma City Retail market has experienced absorption of 4200 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Rent growth in the submarket has averaged 6.7% annually over the past 8 years. Aspen Crossing is located in Oklahoma City, OK, a market that has recorded 4.8% population growth over the last five years. Employment growth is led by healthcare, logistics, education and professional services sectors.

Average rent is $23 per square foot with parking at a ratio of 36 spaces per 1,000 square feet. Aspen Crossing is located in Oklahoma City, OK, a market that has recorded 5.2% population growth over the last five years. Rent growth in the submarket has averaged 3.9% annually over the past 12 years. Market vacancy for comparable Retail product stands at 7.3%, down from 6.0% two years ago. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Access and Utilities

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Improvements Description

The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Aspen Crossing was originally constructed in 2021 and consists of 121,968 SF in a building of 27 stories. Common area interiors have been refreshed within the last 10 years and are in average to good condition. The roof is a 11-year membrane system with an estimated remaining useful life of 4 years.

Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Mechanical systems include rooftop package units and central plant equipment of varying age. Average rent is $23 per square foot with parking at a ratio of 42 spaces per 1,000 square feet. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Building Systems

The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. The roof is a 46-year membrane system with an estimated remaining useful life of 3 years. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Mechanical systems include rooftop package units and central plant equipment of varying age. Average rent is $23 per square foot with parking at a ratio of 48 spaces per 1,000 square feet.

Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. The roof is a 4-year membrane system with an estimated remaining useful life of 3 years. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation.

Improvements Description

Aspen Crossing was originally constructed in 2021 and consists of 121,968 SF in a building of 17 stories. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Common area interiors have been refreshed within the last 10 years and are in average to good condition. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Mechanical systems include rooftop package units and central plant equipment of varying age. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Average rent is $23 per square foot with parking at a ratio of 8 spaces per 1,000 square feet. The roof is a 37-year membrane system with an estimated remaining useful life of 6 years.

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Sales Comparison Data

Comparable	Location	Sale Date	Size	Price	$/Unit or SF	Cap Rate	Yr Built
Banyan Square	Seattle, WA	03/23/2026	33	$27,309,000	$224	6.42%	2007
Aspen Shopping Center	Birmingham, AL	09/30/2022	17	$33,276,732	$273	6.61%	1997
Laurel Marketplace	Baltimore, MD	09/14/2023	25	$25,654,225	$210	6.97%	2020
Whitaker Marketplace	Allentown, PA	03/05/2026	34	$31,419,543	$258	7.20%	1967
Stonebridge Square	Austin, TX	05/10/2022	35	$31,726,852	$260	7.49%	1994
Pelican Square	Baltimore, MD	07/09/2026	25	$15,519,719	$127	5.13%	2001
Elmhurst Shopping Center	Boise, ID	04/29/2022	40	$30,789,277	$252	8.06%	2017
Cedar Crossing	New Orleans, LA	02/20/2026	17	$18,909,097	$155	6.91%	1968
Saddlebrook Shopping Cente	Louisville, KY	09/05/2023	46	$30,177,437	$247	5.63%	2001
Ridgeline Marketplace	Riverside, CA	10/18/2022	39	$28,633,756	$235	5.02%	2016
Riverbend Shopping Center	Naperville, IL	01/30/2025	43	$27,753,521	$228	6.42%	1993
Ivy Marketplace	Greenville, SC	01/17/2024	26	$14,588,613	$120	5.04%	1980
Laurel Marketplace	Boston, MA	01/07/2022	47	$10,375,138	$85	7.97%	1972
Onyx Shopping Center	Dallas, TX	08/06/2026	33	$21,321,548	$175	5.50%	2022
Heritage Town Center	Grand Rapids, MI	05/17/2026	32	$23,240,502	$191	6.20%	2022
Redwood Town Center	Orlando, FL	06/11/2026	22	$13,647,416	$112	5.38%	1981
Quarry Shopping Center	Madison, WI	05/28/2024	40	$24,105,131	$198	8.01%	1996
Stonebridge Square	Nashville, TN	08/15/2024	28	$31,306,491	$257	6.18%	2015
Garnet Shopping Center	Naperville, IL	08/12/2023	45	$13,823,630	$113	5.06%	1999
Fairmont Shopping Center	Naperville, IL	09/07/2022	35	$12,256,106	$100	5.67%	1988
Union Crossing	Hartford, CT	01/04/2024	41	$15,343,888	$126	5.54%	1969
Fairmont Town Center	Philadelphia, PA	06/15/2025	40	$19,357,465	$159	7.72%	2018
Orchard Shopping Center	Detroit, MI	10/05/2025	44	$20,588,048	$169	5.59%	1978
Kestrel Crossing	Houston, TX	11/30/2023	19	$26,108,037	$214	8.11%	1974
Sterling Square	Philadelphia, PA	12/07/2024	41	$13,891,930	$114	6.92%	2003
Bayview Square	Baltimore, MD	11/01/2023	26	$22,970,600	$188	5.85%	1989
Raven Marketplace	Detroit, MI	08/30/2024	33	$30,563,891	$251	6.39%	1971
Bayview Crossing	Chicago, IL	01/06/2024	48	$13,138,334	$108	7.67%	2022
Dunmore Square	Buffalo, NY	05/03/2025	27	$12,298,807	$101	5.07%	1965
Juniper Crossing	Raleigh, NC	01/18/2024	36	$34,429,966	$282	6.97%	1966
Kingsley Crossing	Denver, CO	06/24/2022	36	$11,685,607	$96	6.48%	1965
Lockwood Crossing	Pittsburgh, PA	02/04/2022	35	$24,624,956	$202	6.06%	1995
Palisade Square	Sacramento, CA	09/16/2025	32	$11,036,022	$90	5.40%	2019
Prairie Marketplace	Jacksonville, FL	02/13/2024	36	$26,547,900	$218	5.87%	2022
Bluestone Crossing	Tampa, FL	10/29/2022	27	$19,323,599	$158	5.96%	2018
Magnolia Square	Riverside, CA	12/27/2023	43	$14,918,157	$122	6.32%	1986
Garnet Square	Des Moines, IA	02/16/2024	22	$16,648,512	$136	7.15%	2008
Keystone Shopping Center	New Orleans, LA	01/01/2026	43	$28,881,896	$237	7.54%	1976
Onyx Town Center	Memphis, TN	05/04/2024	18	$15,110,469	$124	7.02%	2020
Elmhurst Shopping Center	Des Moines, IA	12/13/2024	28	$11,621,143	$95	5.68%	1988
Ridgeline Town Center	Seattle, WA	12/22/2023	29	$12,351,955	$101	8.00%	2021
Thornton Town Center	Madison, WI	01/24/2023	35	$10,682,442	$88	6.64%	2020

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Financial Analysis

Net operating income is projected to grow at a compound annual rate of 6.4% over the hold period. Average rent is $23 per square foot with parking at a ratio of 39 spaces per 1,000 square feet. Effective gross income for the trailing period was $23,000, representing a 6.0% increase over the prior year. The going-in capitalization rate of 5.43% reflects the in-place income and the stabilized occupancy assumption.

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 7.86x on a trailing basis against a covenant minimum of 1.20x.

Operating Performance

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The going-in capitalization rate of 5.03% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $31,000, representing a 13.7% increase over the prior year.

The going-in capitalization rate of 7.10% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 3.4% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $27,000, representing a 6.5% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 7.5% over the hold period. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

Valuation Discussion

Net operating income is projected to grow at a compound annual rate of 7.7% over the hold period. Debt service coverage ratio was 6.04x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 5.63% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 7.0% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $288,000, representing a 11.7% increase over the prior year.

Net operating income is projected to grow at a compound annual rate of 5.1% over the hold period. Average rent is $23 per square foot with parking at a ratio of 32 spaces per 1,000 square feet. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Management fees are calculated at 5.8% of collected revenue and are included in operating expenses.

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Rent Comparables

Comparable	Distance	Yr Built	Space Type	Asking Rent	Occupancy	Concessions
Westgate Marketplace	0.2 mi	1993	Inline	$26.68	96.4%	None
Ivy Town Center	4.7 mi	1972	2BR	$21.59	86.2%	None
Lockwood Square	1.5 mi	2003	Unit	$25.79	97.7%	None
Dover Square	4.5 mi	1970	2BR	$25.80	97.3%	None
Onyx Shopping Center	3.4 mi	2012	Bay	$23.19	94.2%	None
Indigo Marketplace	0.2 mi	1988	Studio	$24.84	94.8%	None
Hollis Crossing	1.4 mi	1986	Unit	$23.63	92.4%	1 mo. free
Keystone Crossing	3.1 mi	1976	Studio	$21.42	87.2%	1 mo. free
Lakeshore Town Center	1.9 mi	2014	Suite	$27.30	96.3%	$500
Dunmore Shopping Center	0.3 mi	1990	Studio	$21.59	88.4%	None
Gatewood Marketplace	0.5 mi	1972	Inline	$24.57	97.4%	$500
Juniper Marketplace	3.5 mi	1991	Suite	$22.86	89.9%	None
Heritage Square	4.6 mi	1977	1BR	$22.08	95.5%	None
Harbor Marketplace	0.3 mi	1978	Studio	$24.73	95.5%	None
Kestrel Shopping Center	0.7 mi	2000	Suite	$21.78	94.1%	None
Copper Square	5.0 mi	2014	Suite	$25.00	95.3%	None
Hawthorne Square	1.2 mi	1998	Unit	$23.64	86.5%	None
Parkview Town Center	4.9 mi	1983	Suite	$24.57	87.7%	None
Thornton Square	3.0 mi	1974	Studio	$26.34	95.4%	$500
Elmhurst Shopping Center	0.5 mi	1999	Bay	$23.06	95.8%	None
Harbor Square	0.6 mi	1979	2BR	$23.33	95.7%	None
Brookside Marketplace	3.1 mi	1988	Bay	$24.98	87.1%	$500
Keystone Crossing	0.7 mi	1997	2BR	$21.68	91.5%	None
Riverbend Shopping Center	3.1 mi	2020	Studio	$26.84	88.7%	1 mo. free
Driftwood Crossing	4.2 mi	1973	Inline	$23.02	98.0%	$500
Timberline Square	2.2 mi	2004	Inline	$24.76	89.6%	None
Aspen Square	0.8 mi	1976	1BR	$25.06	89.0%	$500
Redwood Shopping Center	4.7 mi	2003	2BR	$27.32	96.1%	$500
Tidewater Shopping Center	4.4 mi	2004	Unit	$26.59	87.5%	1 mo. free
Wexford Crossing	3.9 mi	1994	Bay	$26.62	92.2%	None
Pelican Town Center	1.4 mi	2009	Studio	$26.53	88.2%	None
Bayview Town Center	2.4 mi	1980	1BR	$23.63	97.1%	None
Verde Town Center	1.8 mi	1996	Unit	$24.86	87.9%	1 mo. free
Banyan Shopping Center	1.7 mi	1997	Bay	$22.01	87.0%	None
Cedar Shopping Center	3.2 mi	2005	Suite	$25.78	86.5%	None
Kingsley Square	0.3 mi	1987	2BR	$20.58	87.5%	$500
Sterling Square	3.9 mi	1995	Inline	$22.09	91.1%	1 mo. free
Riverbend Marketplace	4.2 mi	1971	Inline	$24.79	87.6%	$500
Quarry Shopping Center	1.1 mi	2020	Suite	$25.36	97.5%	None
Cypress Square	2.0 mi	1998	Unit	$27.03	88.7%	None
Quincy Town Center	3.9 mi	2011	Suite	$27.46	91.4%	1 mo. free
Tidewater Square	3.6 mi	2017	Studio	$25.00	94.1%	1 mo. free

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Certification

I certify that, to the best of my knowledge and belief, the statements of fact contained in this report are true and correct and that I have no present or prospective interest in Aspen Crossing and no personal interest with respect to the parties involved.

The analyses, opinions and conclusions are limited only by the reported assumptions and limiting conditions. The inspection of the property was performed on October 7, 2022.

Andre Hughes, Senior Associate

Hartwell Appraisal Associates

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